S&P Capital IQ

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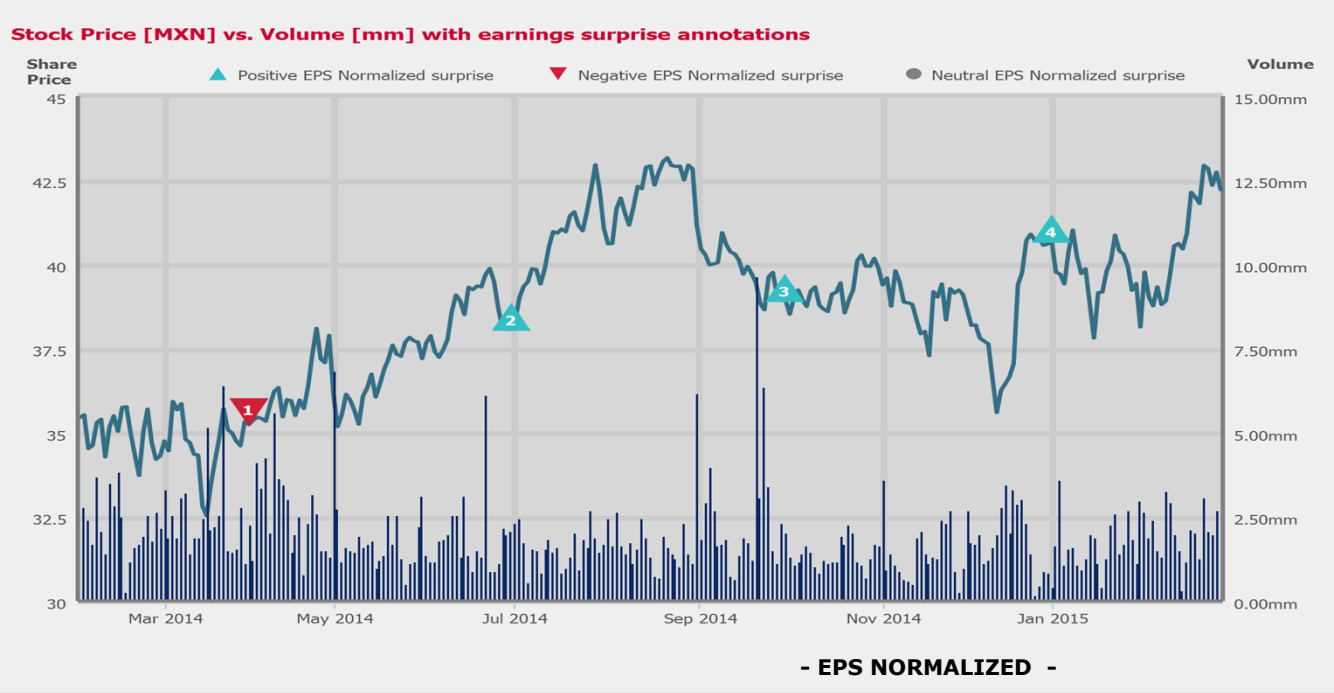
FQ1 2015 Earnings Call Transcripts

Friday, April 24, 2015 3:00 PM GMT

S&P Capital IQ Estimates

	-FQ1 2015-			-FQ2 2015-	-FY 2015-	-FY 2016-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	0.16	0.19	▲18.75	0.37	1.51	1.87
Revenue (mm)	49560.73	49843.05	▲0.57	52981.34	213072.50	216344.67

Currency: MXN
Consensus as of Apr-24-2015 12:43 PM GMT



- EPS NORMALIZED -

	CONSENSUS	ACTUAL	SURPRISE
FQ1 2014	0.16	0.11	▼1 (31.25 %)
FQ2 2014	0.26	0.34	▲2 25.93 %
FQ3 2014	0.38	0.41	▲3 7.89 %
FQ4 2014	0.38	0.52	▲4 36.84 %

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Daniel Javier Servitje Montull
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Presentation

Operator

Good morning, everyone, and welcome to the Grupo Bimbo's First Quarter 2015 Results Conference Call. If you need a copy of the press release issued yesterday, it is available on the company's website at www.grupobimbo.com.

Before we begin, I would like to remind you that this call is being recorded, and that information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties, and actual results may differ materially. Please refer to the detailed note in the company's press release regarding forward-looking statements.

I would now like to turn the call over to Mr. Daniel Servitje, Chairman and Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, good morning, everyone, and thank you for joining us. I'm here with our CFO, Guillermo Quiroz; our BBU President, Fred Penny; and several members of our finance team. As usual, I will start with an overview of the key highlights in the quarter and then we will be happy to take any questions you may have at the end.

Overall, we delivered a very good quarter with top line gains in every region, solid margin improvement on a consolidated basis and significant growth in profitability, north of 100% in net majority income. We continue to focus on the key initiatives that we have shared with you on multiple occasions. We innovate on the product side, increased efficiencies across our manufacturing network, while striving to be a low cost producer and extending our reach on the distribution side, all of which are helping strengthen our operating profile. Of course, I must also highlight that we continue to profit from the diversification of our operations, including our most recent acquisitions as it provides us exposure to different economic cycles, consumer trends and currencies while our commodities and FX hedging program delivered additional benefit to our costs in the period as well as the tailwinds in commodity prices.

Let's take a look at performance by region, starting in Mexico. As we noted on the press release, we posted the highest growth in the past 2 years. While we still remain cautious and it is much too early to call it a substantial -- sustainable trend, consumer spending picked up during the period, and we leveraged that momentum with a mix of efforts to boost volumes, including strong sales execution and promotional activities, which led to volume gains of around 4%. A few highlights worth mentioning are the launch of products with improved nutritional profiles such us multigrain breads with flaxseed, a new line of Bimbo muffins with oatmeal and fruits, and a line of multigrain cereal bars with chia seeds. I also want to highlight that as just part of our responsibility efforts in providing the best possible products for consumers, we cut the sugar content in about 10% of our sweet baked goods portfolio without compromising consumer preference. On the operating side, we benefit from greater efficiencies in distribution, taking initiatives and lower average raw material costs, all of which contributed to the more than 300-basis-point expansion in the operating margin over the first quarter of last year.

Moving on to the U.S. & Canada. Sales rose more than 35% in peso terms due to the Canada Bread acquisition and a stronger dollar. We still see challenges in the bread category, both in terms of overall consumption as well as the competitive dynamics in the marketplace. This is particularly relevant in the traditional sliced and private label bread categories. That said, we're maintaining our unit market share and making progress in driving improvements in promotional effectiveness. We have exciting innovations in this category with introducing of the Healthfull bread brand and expansion of our Nature's Harvest brand. I'm pleased to note that the breakfast and sweet baked goods categories continue to do well, with some standout products like Entenmann's Little Bites. These are now Thomas' English Muffins and the introduction of Sara Lee Crisps.

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We continue to drive productivity benefits throughout the organization and generating additional savings from waste reduction efforts. During this quarter, we closed 2 facilities in Norristown, Pennsylvania and Fresno, California and announced the Halifax closure in Canada. I should point out that restructuring expenses in the U.S. declined by 50% from Q1 of last year, helping improve the operating margin by almost 100 basis points. In Canada, during the quarter, we completed the acquisition of Saputo Bakery as well as 2 new plants located in the Western part of the country. These transactions further strength our position in the North American market by enhancing our distribution network, manufacturing base and product portfolio. Bear in mind that the North American region comprises both the U.S. and Canada. In the U.S., gross margin remained flat and EBITDA margin improved north of 100 basis points, while our Canadian operations reflected a contraction due to the effect of a stronger U.S. dollar in commodities.

Moving on to Latin America. The stronger sales across the region primarily reflect ongoing market penetration efforts and the addition of Ecuador, which helped offset some macroeconomic pressures in the region. At the operating level, there was some pressure coming from a much higher FX rate in Venezuela and an increase in general expenses related to IT efforts undertaken in conjunction with the corporate offices. These efforts are aimed at optimizing control of distribution routes and inventory in order to improve execution at the point of sale.

Lastly, in Europe, we still see the benefits of the Canada Bread acquisition in terms of its contribution to sales in the U.K. while in Iberia, we continue to revitalize the business with new products, packaging and innovations, expanding our penetration in the traditional channel and generating efficiency gains across our manufacturing base. As a result, sales were up 23% in peso terms for the period. And we cut our operating losses by over 40%.

Looking ahead, at the remainder of the year, we believe focused execution will help deliver top line growth and margin improvement across our business with the aim of doing so at a faster rate than the market as a whole as well as over the long term. You can expect restructuring expenses in the U.S. to wind down even as we continue to improve the business. We will keep investing in manufacturing improvements in every region, with a CapEx budget for the year on the order of $650 million as we shared with you before. Our commitment to delevering remains firm, and I look forward to sharing our progress with you in the coming quarters.
At this point, Emily, I have concluded my remarks. And we're ready for the question-and-answer session.

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Question and Answer

Operator

[Operator Instructions] Our first question is from Luca Cipiccia of Goldman Sachs.

Luca Cipiccia
Goldman Sachs Group Inc., Research Division

I have 2 questions really. The first is on Mexico. Maybe if you can clarify or expand on the performance between price and volumes and how you see the progressing, given that the acceleration was quite, multiyear when we look at revenue growth per se? And then the second, on your comment about the U.S. with the bread category that you highlight remained challenging but other segments that are doing well. If you can quantify maybe that growth or at least remind us how large this new segments are as a percentage of the business in the U.S. and how maybe that can expand to generate more growth for the unit as a whole?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

I will answer the first question and I'll refer the second one to Fred. On the first one, let me tell you that we're very pleased with the performance of our Mexican operations, both the baking one and the salted snack and confectionery unit. Both the units delivered very good growth, both in volume as we mentioned volume grew 4% for us in this quarter over last year. And we also had a very good performance on the cost side as well. There were a lot of initiatives that materialized as well as also the commodity hedges and also the benefit of a hedge fund on the dollar for that commodity impact. So all in all, we are very pleased with the results of our Mexican operations. And we also are starting to be hit by the exchange rates in Mexico. And we had a very slight price increase of around 1% in the period. So that's basically our view on the Mexican business. So Fred, do you want to tackle the second question?

Alfred Penny
President of Bimbo Bakeries USA Inc

Sure, Daniel. Good morning, Luca. I would say the way to think about is we're about 60-40 total bread and buns versus our remaining categories in terms of our sales composition. And the 40%, which would include all of our breakfast business and our sweet goods businesses as it has in prior quarters performed well in the quarter, continues to perform well. There has been softness. There's softness in bread even more so particularly, in what we call traditional sliced bread, packaged bread. And to a degree, we saw a bit more of an impact maybe in the quarter because we took pricing mid-quarter in bread, which we needed to do and wanted to do but we took pricing in the quarter and that had a bit of an impact on volume but we expect that to moderate going forward.

Luca Cipiccia
Goldman Sachs Group Inc., Research Division

If I can expand on this answer on the pricing, some of the data that we try to track where we monitor seem to show that on the pricing, you've taken a bit of a turn so maybe if you can clarify how much that is of a shift? And I wouldn't say a shift in strategy but maybe something in 2015 you are going to be more focused on rather than even though it may hurt volume at some extent?

Alfred Penny
President of Bimbo Bakeries USA Inc

Yes, I know I mentioned this in the last call, probably 2 quarters ago as well. We are focused on improving our promotional spend efficiency, which I think is and I don't think, I believe is an opportunity for us. It's complex because of the portfolio make up and the many brands we have, but we're working through that and we're focused on continuing to do that as we go forward. But in the quarter, we took front-line pricing as well. And I -- it's too early to tell whether there'll be more opportunity for that or not, but we

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did take front-line pricing and now we're focusing again, on continuing to work our promotional spend effectiveness.

Operator

Our next question is from Lauren Torres of UBS.

Lauren Elaine Torres
UBS Investment Bank, Research Division

My question's just a follow-up to the previous question on Mexico. The 4% volume growth that you saw I don't know if there's a way you could talk to us about the components of that. I believe you cycle that easy comp, you mentioned initiatives, innovations and then also the signs of some recovery here at the consumer level. So if you could break that down I think that would be helpful just to understand the dynamics of that growth? And how sustainable do you think that growth could be as we course through this year?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes, Lauren. We -- I would say with the exception of the sweet baked segment, sweet baked good segment, we had a very good performance in the rest of the categories. So some of our other snack categories such as snack cakes and cookies did have good increases. It was just the sweet bread part that still is not growing. But the rest of the categories went up and confectionery is also a bit flat as well. So those 2 are the ones that are not growing still. But the remainder, which is most of the portfolio of our products, it's growing well. And I would say that it's growing well in almost all the channels in Mexico.

Lauren Elaine Torres
UBS Investment Bank, Research Division

I guess I'm just trying to get a sense in response to your remark. If you think the growth will come back as a result of the consumer coming back, or is it just a category that will continue to be challenging because of the category that it is? I don't know if it's a calorie discussion or something beyond that. But do you feel that the environment will help that with respect to how the consumer's behaving? Or you need to do something differently in the category to get the growth accelerating?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

I would say that -- and we also commented on this, it's still early to tell if the growth is going to be sustainable in the rest of the year. We're hopeful, although growth perspectives for the comps have been slightly going down in the projections. But as we speak, we're still seeing a fair trend on where we started this year. And the categories that are still not going up, I would say it's more not necessarily to a general trend. It's more on how we have been sort of defining our tactics in approaching the market. So I remain positive on both where the consumer is and what we're doing on the specific categories.

Operator

Our next question is from Fernando Ferreira of Merrill Lynch.

Fernando Ferreira
BofA Merrill Lynch, Research Division

I have one question in the U.S. More of a big picture question. I mean, when we look at the margin evolution right since the acquisition of Sara Lee in 2010, our impression is that the margins have fell a little bit short of your projections of getting back to the 10% level you had before the acquisition. Just would like to understand, I mean, your view of what has gone worse than your initial expectations? And when do you think you'll be able to get back to that level? That will be my first question.

Alfred Penny
President of Bimbo Bakeries USA Inc

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Daniel, you want to take that one, I assume?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes. And maybe I -- yes. Go ahead.

Alfred Penny
President of Bimbo Bakeries USA Inc

Well Fernando, I would say first, our portfolio makeup changed fairly significantly with the Sara Lee acquisition. We were, prior to that, more heavily weighted to I'll say premium and premium margin segments than we were once the Sara Lee acquisition entered. We, with that acquisition, gained a significant presence in private label much more so than we had where the markets are not comparable to premium branded margins as an example. So the -- we're starting from a different point. And then obviously a lot's happened in the category with the Hostess liquidation and then the reemergence of the brands. I think we're on pace over time to get back to the 10% margin range. Frankly, the long-term goal I have for the business is more north of 11%, but it's going to take some time to get there and a lot of that is getting all of this restructuring work behind us and driving top line growth and seeing improvement, category improvement in the pricing structure in the category. And that's going to take some time as well. But I'm optimistic that we can get to those kinds of margin levels again, but it's going to take a bit of time.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

If I may jump also on this one. I would say that the new -- the very new introductions that we announced today are quite significant in the direction that the company is taking. And both are going to be introductions that we hope will reach all the stores in the U.S. Both are geared towards the trends of health and whole grains. They targeted specific audiences, they're being very well-received and that's sort of the thinking that it is going on is no longer what we had as part of the Sara Lee business that we bought. That was more on the mainstream side and a large percentage of it also was on the private label side. So there is going to be changes in the U.S. We're very much focused on bringing innovation on being more rational on our promotional spending. And therefore that's where we will find opportunities to build a much stronger business in the future. Although that, that work, it's work that -- it's going to be in a market that it's in a flux, and that it's changing as well.

Fernando Ferreira
BofA Merrill Lynch, Research Division

Well, that's great. And I have a follow-up on the volume story in Mexico. I mean we heard from the bottlers right, that March was very rainy and that affected the traffic and demand on the mom & pop channel. And did you have -- did you see the same effect? So meaning, if March was a more normal quarter, would you have even a stronger volume increase than you reported? Or you didn't see that much of a difference in between months in Q1?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, let me tell you that our trends are not necessarily the same as the ones that happen with the beverages. Because our products are -- sometimes are consumed in conjunction with beverages and sometimes we're hit when the weather gets warmer on the snacks side. So I wouldn't say that we correlate on the same way as they do.

Operator

Our next question is from Rafael Shin of BTG.

Dong Uk Shin
Banco BTG Pactual S.A., Research Division

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I have a follow-up in the U.S. I was wondering if you can provide a little bit more color on, let's say, the volume and pricing dynamics in the U.S. I mean, correct me if I am wrong, but it seems that the revenues, well, I guess, organic growth in U.S. terms was basically flat despite of a pretty promotional activity. So I was wondering if you can provide a little bit more color on that.

Alfred Penny
President of Bimbo Bakeries USA Inc

Yes, Rafael, I would say revenue is flat with positive revenue growth in our breakfast and sweet goods portfolio, pretty much across the board, irrespective of the brands in that portfolio. And a bit of softness, as I mentioned, earlier on -- particularly on the mainstream bread and private label side, and one of the major drags for us at it was last year was -- has been private label volume where we have a significant presence in the industry and private label volume depending on the time period you look at has been trending down in the, I'll say 6% to 8% range in tonnage. And so that clearly impacted -- impacts us with the size of the private label business we have. And so that was a bit of a -- that was a drag on our bread revenues.

Dong Uk Shin
Banco BTG Pactual S.A., Research Division

Okay. And on the gross margin in the U.S., is it mainly related to the promotions, or you had an impact of let's say, because it seems that wheat prices are still coming down, so I was wondering if it's coming from input prices, or promotional activity or maybe a sales mix?

Alfred Penny
President of Bimbo Bakeries USA Inc

Yes, our gross -- our U.S. gross margin was basically flat. So we held gross margin with the dynamics of mix in our portfolio.

Dong Uk Shin
Banco BTG Pactual S.A., Research Division

Okay. Yes, maybe I was looking at a different -- well, in the U.S. in peso terms, I have a slight contraction. So you say in dollar terms the U.S. was flat then?

Alfred Penny
President of Bimbo Bakeries USA Inc

Our U.S. gross margin dollars was flat.

Operator

Our next question is from Alex Robarts of Citi.

Alexander Reid Robarts
Citigroup Inc, Research Division

I was keen first of all, just go back to Mexico, the driver this quarter of earnings growth clearly coming from Mexico and as you noted, the top line showing the fastest growth in 2 years. And I guess it's clear to me at least on the top line and the hedges, but you got a nice pickup in the SG&A area and you make a reference to the distribution initiatives that are going on in Mexico. If you could expand a little bit more on where we are in the cycle of the rollout of these distribution initiatives? I know you work with Tubbs and started to make certain adjustments in how, both on the primary and the secondary routings. But are we kind of at the beginning of this? Do you expect some more incremental savings and efficiencies during the year? And just kind of maybe address that distribution area for Mexico. That would be helpful.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

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Yes, Alex, good morning. Let me tell you that yes, we have been doing conversions of our tray system to a new system of baskets, where we spent a lot of money in the previous years. And that conversion basically ended up in this quarter, so we're no longer spending this trays that took us a large amount of resources over. I think it was like 3 or 4 years. And now we'll see these benefits accruing from now on and that's I would say, something that is structural but it will stay there. We are also deploying new systems that we tried and tested in Mexico last year. And those are the ones that are being rolled out in Latin America and eventually in other places as well. So my comment on this is that we're experiencing effects that are going to be there for the long run. And we still are obviously, all the time trying to optimize our network, our efforts on the different channels and there are plans in place for that. So what I would tell you that we're starting the year on the right foot in Mexico. Having said that, over the year, we will be feeling the impact of a higher dollar impact on our costs. So that's sort of the good part of the first quarter. And even though we have good hedges and whatever, the dollar impact will eventually heat the flow.

Alexander Reid Robarts
Citigroup Inc, Research Division

Okay. Secondly, just going to Latin America and you talked about the IT efforts and obviously the going to the $1.92 bolivar rate in Venezuela along with Peru having an issue, were factors to have the sequential kind of drop in that Latam margin but when we think about for the rest of the year, and I know I think in the prior call you had mentioned, listen, most of these countries in the Latam region have double-digit margins and Brazil was kind of this last big part of that region that was going through final restructurings. Can you talk a little bit about how you're viewing the rest of the year in Brazil? There's obviously a soft consumer environment there too. But can we get back up to these mid-single-digit margins that we saw late last year in Latin America? And can Brazil play a role in that? So that's the last question.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes, let me speak about Brazil. I would say that we're seeing good progress on a tough environment. Our volumes went up significantly on the high single-digit rate. Even though the market has not grown, we were also there coming with great innovation on the bread side. And our -- the start-up of our Mogi plant is now coming on very well on the bread side, and that's a high-speed plan that we have near Sao Paulo. We are also growing on the traditional channel, which was sort of a void for us and we're making progress on streamlining the business, which was a big issue for us in the past years. Having said that, we're also facing a lot of issues on the environment that are quite substantial. The cost of energy is increasing as nowhere else in our system. There are water shortages. There are sometimes days where the production is interrupted. So we're facing a difficult environment, and we are coping with it. We're bullish on our plans for bringing Brazil to a breakeven level. And that's why we're hopeful that as a whole, the Latin American region will get to the levels that you are mentioning. So all in all, even though the quarter had some hiccups and we will be also spending more on SG&A as we said before. And that's going to be there, that increasing cost. We're still betting that the region as a whole is going to do better.

Operator

Our next question is from Rodrigo Sanchez of Morgan Stanley.

Rodrigo Sanchez

I have questions mainly on the U.S. I would like to know if you can give us some guidance on the restructuring expenses you expect for 2015? And also how you expect to improve your margins in the U.S. like how sequentially are we going to see this improvement? And then in Latin America, I was hoping if you could tell us -- if you could quantify the general expenses that affected your results, for example you mentioned that there was an operational matter in Peru but could you mention the impact -- the monetary impact of this issue?

Alfred Penny
President of Bimbo Bakeries USA Inc

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Daniel, I'll take the U.S. questions. Good morning, Rodrigo. On restructuring, I think we gave guidance last time that for the year our restructuring expenses are going to be less than half of what they were in 2014. And that will remain consistent on that. I don't see that changing. So that's restructuring. In terms of forward improvement in our business or our margin, I would say we're focused on continuing to drive efficiency in our bread portfolio, particularly our mainstream bread portfolio and that cuts across the entire supply chain and again, it goes to promotional spending efficiency. And we're going to continue to focus and Daniel mentioned 2 major product launches, Healthfull breads and Nature's Harvest breads. We're going to continue to focus on growing our higher margin, more premium categories and bringing innovation to the category. One thing that the category needs quite frankly is for people to eat more bread because it's been challenged for a long time on bread consumption. And we are as on an innovation side focused on trying to drive that.

Rodrigo Sanchez

Okay. And could you give us like a specific margin for the long term in the U.S. operations?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

We don't give any guidance on the future. Sorry. On the Latin American side, in the Peru situation, we had a temporary closure of our operation because of some regulations in Peru. We're back on track. And the devaluation of the bolivar is I would say that we ended up having there a very conservative view on this. We hope it's going to be at the end of the day a substantial. It's not going to affect us in the long run. And the other expenses are going to be there structurally, as we say we're investing in having a better-equipped solution for our sales force. It will be reflected in more control and in more sales in the future. It's a cost that it's there for the long run. So there are some costs that are one-timers, such as the Peru event and then obviously the impact of the devaluation was just for 1 quarter. And there are others that's going to be there for forever.

Operator

Our next question is from Pedro Leduc of JPMorgan.

Pedro Leduc
JP Morgan Chase & Co, Research Division

Question would be on the raw material cost outlook specifically, for Mexico we saw this quarter a nice gross margin expansion but seems like you have very easy comps, especially on the wheat cost side of things and next quarter maybe it will not happen. But therefore, I am looking to hear your thoughts on this, how you're hedges vis-à-vis inventories, vis-à-vis the exchange rate outlook for raw materials in Mexico and all right that -- I'll stop there, okay.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, yes, I would say that we believe that we're well covered on our futures contracts on most of the commodities. The commodity environment I would say is it's a good one for purchasers of commodities. And we're doing a good job, I believe. Having said that, the strength of the dollar has had an impact on all of these commodities. So on one hand, we see a lower price. On the other hand, we end up seeing in the local currencies at the end of the day an impact on these commodity purchases, given the devaluations. There have been some depreciations of these local currencies, very strong in some currencies. Specifically in Mexico, and we're starting to do this in other countries, we have also a hedge on the dollar for the commodity impact. And so we basically were not affected on this depreciation of the peso in this quarter. That's the part that it's going to eventually catch up to the real dollar-peso exchange rate. And that we will be seeing a little bit on the second quarter and then fully on the rest of the year. I don't know if that clarifies my point.

Pedro Leduc
JP Morgan Chase & Co, Research Division

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No, it does. It's very clear. So this quarter saw benefited a great deal, next one slightly less. And maybe later on you might have to then think about a price increase keep growing gross margins.

Operator

Our next question from Chelsea Konsko of TIAA-CREF.

Chelsea Konsko

You already commented that in the U.S. & Canada revenues were basically flat on an organic basis. But can you also give us some color on the organic growth in Latin America and Europe, excluding the acquisitions? And then what this means on a consolidated basis? And then my second question is can you just remind us what the contribution -- what is the contribution of Venezuela in terms of revenues and EBITDA?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, the Venezuela operation now, it's becoming very marginal. It is I believe less than 1% now? It was less than 1% now?

Unknown Executive

Much less than 1%.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Because we really have been -- just be much more important when the exchange rate was -- but this is sort of the -- this is the third time -- the second time that we've...

Unknown Executive

We were season, we moved to 11, and then we moved to 50 and then we moved to 192.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

So that's why the impact of Venezuela now it's becoming much, much less. Now we had growth volumes in Europe but there were not as strong as we had last year but they were positive. I think it's low-single digits in Latin America as a whole. Part was growth in -- because of the integration of Ecuador. And I believe it was like around 7% all in all what we ended up having. Half is organic and half is inorganic.

Chelsea Konsko

So on a consolidated basis in terms of revenues, what was the organic revenue growth?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Organic. The volume, organic on a consolidated basis is 0.7%. The volume. Yes, in pesos is 8.8%.

Operator

The next question is from Philip Agucent [ph] of MUFG.

Unknown Analyst

Just wanted to follow-up on actually the question I had on the last earnings call as well. Just happens to be that there was, yesterday, yet another story here in the New York Post indicating that we might now be going to an auction process for the Hostess company. So kind of 2 questions again, which is from my perspective, very helpful for fixed income investors. Number one is if you maybe could kind of clarify what a Hostess and its brands could do for you, given that you already have a very strong position

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with Entenmann's and opportunities to further expand that brand? And then secondly, if you were to be interested and you were to participate in the bidding process, can we assume that you might revive the secondary equity offering from last year in order to make sure that there will not a meaningful impact on your credit ratings?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes, Philip, we -- our policy is not to comment on any rumor. We obviously are always open to review our opportunities to grow inorganically.

Operator

Our next question is from Antonio Barreto of Itaú.

Antonio Costa Barreto
Itaú Corretora de Valores S.A., Research Division

I just had a follow-up on the cost inflation. Actually I wanted to understand a little bit more the cost inflation maybe in the U.S. You commented that you needed a small price increase in the first quarter. And I would like to understand why because when I look at your cost components wheat, oil and so on, it seems you could actually have a deflation cost. So I would like to understand that a little bit more. And if you could give us your overview, your forecast for the comps in the U.S. in 2015 like you did for Mexico, it would be great for us.

Alfred Penny
President of Bimbo Bakeries USA Inc

Yes, Antonio, we took a price increase, as I mentioned, earlier for some other inflation beyond our commodity and oil, and quite frankly also to catch up on inflation that we had for the prior 2 to 3 years, when we didn't have pricing. So I don't want to comment on forward inflation. Obviously, there's commodity favorability that's going to run through the year based on what's happened in the wheat market and oil, in particular.

Operator

This concludes our question-and-answer session. I'd like to turn the conference back over to Mr. Servitje for any closing remarks.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, thank you, all, for your time today. And please do not hesitate to contact us with any further comments or questions you might have. And we look forward to speaking with you soon.

Operator
The conference is now concluded. Thank you for attending today's presentation. You may now disconnect.

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